

EXPLOIT BOOTSTRAPPING OPPORTUNITIES



Bootstrapping = Resourcing your needs without being dependent on external finance over the long term

Examples:

- Short-term borrowing or lending tools, machinery etc., to other businesses
- Co-ordinate buying supplies with other businesses
- Receiving a loan from family, relatives or friends



EXPLOIT BOOTSTRAPPING OPPORTUNITIES



More bootstrapping methods:

- Negotiating late payments from the subcontractor
- Receive advance payments from customers
- Apply interest to late payments from customers.
- Sharing the company's land and buildings with other businesses
- Share employees with other businesses
- Share tools with other companies
- Utilise resources when they aren't normally in use





DISCUSSION:

Exploiting Bootstrapping Opportunities

Let's think about other possibilities to meet the needs of a business without being dependent on external finance over the long term

Brainstorm further possibilities

- ...
- ...
- ...
- ...

- Remember Paul was a Tentmaker





WHAT YOU NEED TO DO

Acquire Finances

Self-Starting ●



Look for unconventional sources of funding, identify more than one source



Identify and eliminate avoidable costs and inefficiencies in your business



Use bootstrapping methods



WHAT YOU NEED TO DO

Acquire Finances

Future-Oriented



Calculate your financial needs, take into account how much money you will need in the future



Make a realistic forecast of your financial situation

Overcoming Barriers



Don't let a lack of money stop you from continuing! Keep thinking of alternative sources of funding



Come up with ideas about what you can do if you have financial problems



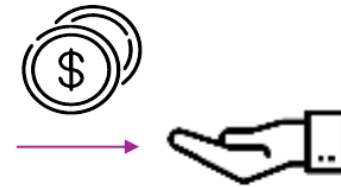
EXERCISE: Acquiring Finances

Instruction:

- Work in **groups of two (02)**.

- Note (for each of you) ...

...your existing sources of money



...opportunities to reduce avoidable costs and inefficiencies so you can focus on the core business

...things you could do with a little more money (for example, an extra monthly salary)





CASE STUDY:

Sophie and The Delivery Service

Sophie has a small restaurant where she sells snacks and some dishes. The restaurant is located in a very friendly corner near a main street in the city centre. In the beginning she didn't make much profit from her restaurant. However, she was successful because she was persistent in developing her business. In addition, she received financial support from her brother and also sought credit from a local bank.

In recent months, some customers have complained that they have to walk a long way to the restaurant at midday in the sun. Sophie therefore had the idea of investing in a delivery service. She has set herself the following target for the end of the year:

"Delivering two different dishes during the lunch hour to customers in the surrounding areas

Now Sophie needs to know

- How she can reach her goal
- What resources are needed to achieve it



Luke 14: 28-30

- “Suppose one of you wants to build a tower. Won’t you first sit down and estimate the cost to see if you have enough money to complete it?



CASE STUDY: Sophie and The Delivery Service



Computer
Kitchen Tools &
Equipment, Furniture
etc.

Vehicle

Premises

Legal Fees

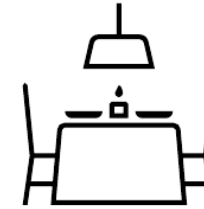
Licences

Advertising

Working Capital

Other Expenses

Write down for each category the items Sophie needs and the amount of money needed to offer a delivery service. Calculate the total.



EXERCISE: Expenditure on Sophie's Goal



INSTRUCTION:

List the **EXISTING** sources of funding available to Sophie.

Discuss the advantages and disadvantages of each source .

SOURCES OF FUNDING	ADVANTAGES 	DISADVANTAGES 
	1.	1.
	2.	2.
	3.	3.
	4.	4.



Caution:

- Be realistic and economical
- Ask yourself: does Sophie really need all the items you have listed or could she use bootstrapping to reduce costs?
- Have you identified any potential obstacles that could occur as Sophie pursues her goal?





EXERCISE: Expenditure on Sophie's Goal



Instruction:

1. Next, make a list of unusual financial sources - think of ALL the possible ways to get or save money that others would not think of! Discuss and record the advantages and disadvantages of these sources.

SOURCES OF FUNDING	ADVANTAGES 	DISADVANTAGES 
	1.	1.
	2.	2.
	3.	3.
	4.	4.

Competition: Which group will find the most innovative financial sources for Sophie?





EXERCISE: "Spending on Your Personal Goal"

Instruction:

Work in **groups of two (02):**

1. Use the objective you have formulated (WS 21).
2. What are the investments you need to finance?
3. Write down for each category the items and costs needed to achieve your goal.
4. Calculate the total.
5. Present your results to a partner.

Caution:

- Be realistic and economical!
- Ask yourself: Do you really need all the items you have listed or could you use bootstrapping to cut costs?
- Have you identified potential problems that may arise in the pursuit of your goal?



Exercise: Financial sources for your goal

Instruction:

Working in the same groups as before.

1. Note down your existing financial sources for achieving your goals. Discuss and note the advantages and disadvantages of each of these sources.
2. Next, make a list of unusual financial sources - think of **ALL** the possible ways to get or save money that others may not think of. Discuss and note the advantages and disadvantages of these sources.

Ask yourself:

- Are these sources really new and not just a copy of what others are already doing?
- Do you think these sources will work in the future?
- Do these sources really help me to overcome the financial challenges of my business?



EXERCISE: Acquire Finances - Research



Instruction:



Look for additional sources of finances – particular those which do not require you to pay interest.

Think of new bootstrapping opportunities/ideas.

Go and ask other entrepreneurs how they acquired their starting capital?

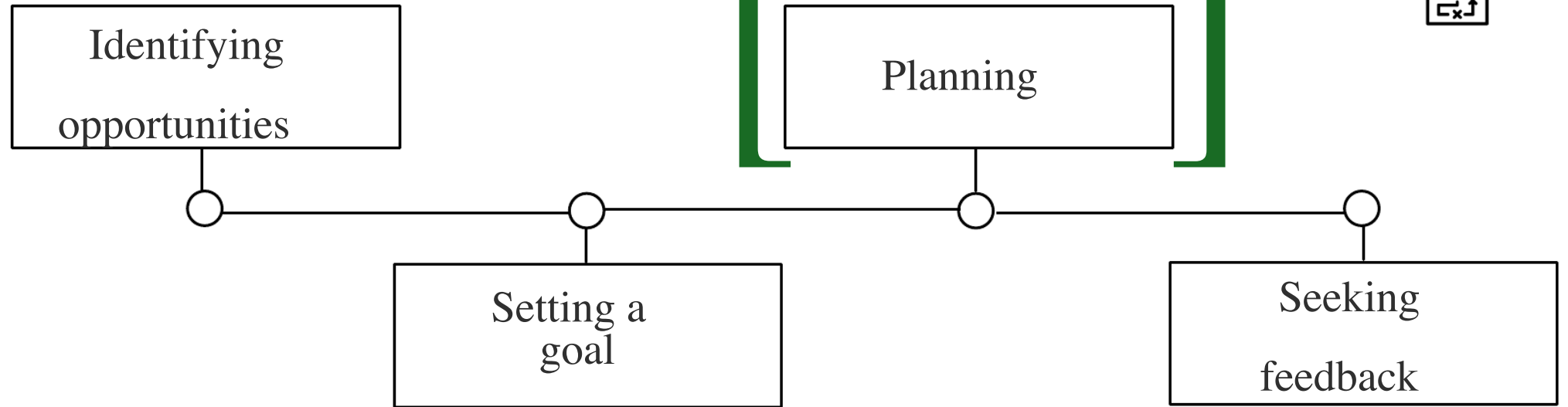
Go and start your idea with money you have earned and saved



Review the "Acquiring Finances"
self-assessment questionnaire.

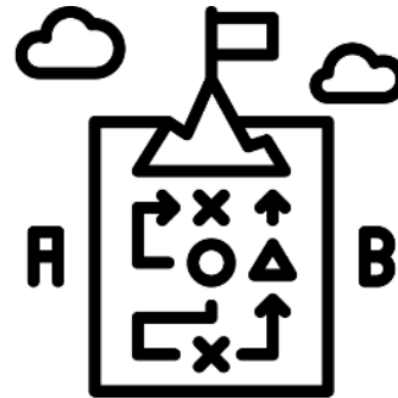
Mark the points you want to
improve.





PLANNING

Finance & Operations





SELF-ASSESSMENT QUESTIONNAIRE Planning of activities

Take the questionnaire
"Planning of activities" and see
how well the statements suit
you.

